HRM - Unit II

HR Planning, Job Analysis, Recruitment and Selection

Contents: Part A Notes · Part B Important questions · Part C Detailed model answers (2, 3, 5, 6 and 10 marks) · Part D MCQs with answers at the end.
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Part A - Notes

Syllabus - Unit II (12 lectures) - Talent Acquisition (Procurement): Concept of HRP, process and factors affecting HRP; forecasting demand and supply of human resources. Job analysis, job description (JD) and job specification (JS). Recruitment: meaning, factors affecting recruitment, internal vs external sources. Selection: the selection process, types of tests (aptitude, personality, situational) and interviewing techniques.

Flow: HR planning → Job analysis (JD + JS) → Recruitment (attract) → Selection (choose)

1. Human Resource Planning (HRP)

HRP is the process of **anticipating and making provision for the movement of people into, within and out of an organisation** - ensuring the right number and kind of people are available, at the right place, at the right time. (Also: forecasting demand for and supply of employees and planning to meet the gap.) HRP links people strategy with business strategy; without it organisations face shortages that restrict growth or surpluses that raise cost.

Objectives of HRP

- Cope with change in technology, markets and products
- Develop employees by providing a base for training and growth
- Plan recruitment and redundancy levels in advance
- Control HR cost within the budget
- Match staffing requirements with organisational goals

Mnemonic: C-D-P-C-M = Change, Develop, Plan recruitment, Control cost, Match goals.

Nature of HRP

- Continuous process - not one-time
- Sub-system of overall organisational planning
- Quantitative and qualitative - numbers and skills
- Futuristic - anticipates future needs
- Matches manpower supply and demand

Importance of HRP

- Right people at the right time
- Supports growth, expansion, diversification and technology change
- Prepares people for future needs through training
- Reduces labour cost by avoiding over- or under-staffing
- Base for recruitment, promotion and succession decisions

2. HRP process

Step	What to write
1. Analyse objectives	Study organisational goals, strategy and future direction (first step)
2. Demand forecasting	Estimate future number and type of people required
3. Supply forecasting	Assess manpower likely to be available internally and externally
4. Identify gaps	Compare demand with supply - shortage or surplus
5. Action plan	Recruit, train, transfer, promote, redeploy or reduce
6. Monitor and control	Check results and update the plan continuously

Mnemonic: A-D-S-G-A-M = Analyse → Demand → Supply → Gaps → Action → Monitor.

3. Factors affecting HRP

Internal factors	External factors
Company policies, growth / expansion plans, budget constraints, production levels / organisation structure, turnover and absenteeism	Government policies and labour legislation, economic conditions, technological change, demographic trends, competitive conditions

Barriers to effective HRP

Barrier	Remedy
Lack of top management support	Show benefits; involve top management
Inaccurate data and forecasts	Improve the HR information system
Resistance from managers / employees	Communication and participation

4. Forecasting demand and supply

Demand method	Meaning
Managerial judgement	Experienced managers estimate future requirements
Ratio-trend analysis	Past staffing ratios projected forward
Work-study technique	Work broken into tasks; standard time and staff need calculated
Delphi technique	Anonymous expert opinions collected over several rounds
Regression analysis	Statistical relationship between business variables and staffing

Mnemonic: M-R-W-D-R = Managerial, Ratio, Work-study, Delphi, Regression. For a growing firm, Delphi / managerial judgement suits best.

Supply	Sources / methods
Internal	Skills inventory, replacement charts, succession planning, promotion and transfer (also Markov analysis)
External	Labour market trends, employment exchanges / job portals, campus recruitment, workforce availability

5. Job analysis

Job analysis is the **systematic process of collecting and studying information about a job's content, context and requirements** - what the job involves and what kind of person is needed. It is the foundation of HR activities.

Methods: direct observation, interviews, questionnaires / surveys, diaries / logs (also critical incidents, job performance analysis, work diaries).

Flow: Purpose and use → Background information → Select jobs → Collect data → Review → Prepare JD + JS

Uses: recruitment and selection; performance management; training and development; compensation and benefits; career development.

6. Job description (JD) vs job specification (JS)

Basis	JD - Job description	JS - Job specification
Question answered	WHAT is the job?	WHO can do the job?
Focus	Job duties, responsibilities, tasks, objectives and conditions	Qualifications, experience, physical, mental, technical and communication abilities
Examples	Title, reporting, duties, tools, working conditions	Education, experience, skills, personality, certifications
Use	Advertise the role; set expectations	Screen and evaluate candidates

Mnemonic: JD = Do; JS = Who.

Sample - Marketing Executive: JD - promote products, meet customers, prepare sales reports, report to the Marketing Manager. JS - BBA/MBA, 1-2 years' experience, communication and computer skills.

7. Recruitment

Edwin B. Flippo: recruitment is the process of searching for prospective employees and stimulating and encouraging them to apply for jobs in an organisation. It is a **positive** process - it widens the applicant pool.

Flow: HR planning → Job analysis → Recruitment planning → Identify sources → Contact sources → Attract candidates → Build application pool

Factors affecting recruitment	
Internal	Recruitment policy, organisation size / manpower plan, cost of hiring, growth / expansion, HR planning decisions
External	Labour market conditions, legal / political factors, organisational image, unemployment rate, competitors' practices

Internal sources	External sources
Promotions, transfers, job posting, employee referrals, re-employment	Campus recruitment, advertisements / job portals / social media, employment agencies, walk-ins, external referrals
Faster, cheaper, boosts morale; may limit fresh ideas	Wider choice, fresh talent; costlier, longer induction

Mnemonic: Internal **P-T-J-E-R** (Promotion, Transfer, Job posting, Employee referral, Re-employment); external **C-A-E-W** (Campus, Advertisements, Employment agencies, Walk-ins).

8. Selection

Edwin B. Flippo: selection is the process of choosing individuals who have the requisite qualifications and competence to fill jobs. It is a **negative** process - unsuitable candidates are eliminated.

Flow: Preliminary screening → Application review → Selection tests → Interview → Reference / background

check → Medical examination → Final offer

Tests: aptitude (numerical, verbal, reasoning, mechanical), personality, situational, achievement / trade and interest tests. A good test is objective, valid, reliable and standardised (**reliability** = consistent results; **validity** = predicts job performance).

Interviews: structured, unstructured, behavioural, panel, stress, group discussion, situational, technical (also telephonic / video). Common errors: halo effect, horns effect, bias / stereotyping, first-impression error - reduce by structured questions and trained interviewers.

9. Recruitment vs selection

Basis	Recruitment	Selection
Meaning	Searches for and attracts candidates	Chooses suitable candidate(s) from the pool
Candidate pool	Widens the pool	Reduces the pool
Sequence	Comes first	Follows recruitment
Nature	Positive process	Negative process
Main techniques	Advertising, campus drives, referrals, agencies	Tests, interviews, reference and medical checks
Outcome	Applications / candidate pool	Offer / appointment

Golden line: recruitment attracts; selection chooses.

Unit II - most probable questions

- Define HRP and explain its process in detail.
- Explain objectives and importance of HRP.
- Explain demand and supply forecasting methods.
- Define Job Analysis and distinguish JD from JS.
- Define recruitment and explain internal and external sources.
- Differentiate recruitment and selection; state two sources of each.
- Explain the selection process, tests and interviewing techniques.

Part B - Important questions

1. Define Human Resource Planning and explain its process.
2. Discuss the factors affecting HRP (internal and external). How can an organization respond to each?
3. Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?
4. Explain the methods of forecasting supply of human resources.
5. What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?
6. Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for a position of your choice (e.g., Marketing Executive).
7. Define recruitment and discuss the factors affecting it. Explain how internal and external factors shape an organization's recruitment strategy.
8. Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.
9. Explain the selection process in detail. Describe each stage, from application screening to the final job offer.
10. Discuss the types of employment tests (aptitude, personality, situational). How do they improve the reliability and validity of selection decisions?
11. Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?
12. What are the barriers to effective HRP, and how can they be overcome?
13. Describe the methods of collecting job analysis data (observation, interview, questionnaire, diary method).
14. "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.
15. "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Part C - Detailed model answers (29 answers)

Q1. [2 marks] Define Human Resource Planning.

Human Resource Planning

Human Resource Planning (HRP) is the process of **forecasting an organisation's future demand for and supply of employees** and planning to meet the gap, so that the right number and type of people are available at the right time.

- It matches the **number and quality** of employees with organisational needs.
- It avoids both shortage (lost work) and surplus (idle cost).

Example: A firm planning to open five new branches estimates the staff needed and starts hiring in advance.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q2. [3 marks] Explain the objectives and importance of Human Resource Planning.

Human Resource Planning

HRP ensures that the organisation always has the right people to carry out its plans.

1. **Right man at the right time:** prevents shortage or surplus of employees.
2. **Control of labour cost:** hiring only as many people as needed saves salary cost.
3. **Basis for other HR activities:** recruitment, training and succession planning all follow the HR plan.

Example: An IT firm plans to recruit 200 trainees before a large project begins.

Marking scheme: Introduction 0.5 · three points 2 · example 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q3. [5 marks] Define Human Resource Planning and explain its process.

Human Resource Planning

Introduction

Human Resource Planning is the process of forecasting the future demand for and supply of employees and planning to fill the gap, so that the right people are available at the right time.

Process of HRP

1. **Analysing organisational objectives and plans** - HR plans flow from business plans (expansion, new products).
2. **Forecasting demand** - estimating the number and skills of employees required.
3. **Forecasting supply** - assessing internal availability (existing staff, promotions, turnover) and the external labour market.
4. **Identifying the gap** - comparing demand and supply to find shortage or surplus.
5. **Preparing action plans** - recruitment, training, redeployment or retrenchment.
6. **Implementation, control and review** - monitoring results and revising the plan.

Conclusion: a systematic HR plan makes the workforce ready for the organisation's growth.

Marking scheme: Definition 1 · six steps 3.5 · conclusion 0.5

Asked in: Important Questions - Unit 2, Q1 [answer from standard HRM knowledge - no notes PDF for this unit]

Q4. [5 marks] Discuss the factors affecting HRP (internal and external). How can an organisation respond to each?

Human Resource Planning

Introduction

HRP does not work in isolation; it is influenced by factors inside and outside the organisation.

Type	Factor	Effect	How to respond
Internal	Organisational strategy and growth plans	Decide number and kind of employees	Align the HR plan with the business plan
Internal	Organisational structure and job design	Change in the number of jobs	Review structure regularly
Internal	Employee turnover, skills inventory	Shortage of skills	Retention plans, training
External	Labour market and unemployment	Availability of talent	Use campus hiring, flexible contracts
External	Economy and technology	Demand for skills changes	Re-skill employees, plan flexibly
External	Government laws and unions	Limits on hiring and firing	Follow laws, build good union relations

Conclusion: the HR plan should be reviewed regularly because these factors keep changing.

Marking scheme: Introduction 0.5 · internal factors 2 · external factors 2 · responses 0.5

Asked in: Important Questions - Unit 2, Q2 [answer from standard HRM knowledge - no notes PDF for this unit]

Q5. [6 marks] Explain the techniques of forecasting demand for human resources. Which technique is most suitable for a growing firm?

Human Resource Planning

Introduction

Demand forecasting estimates the number and type of employees needed in the future. Both quantitative and judgemental techniques are used.

Techniques

Technique	How it works	Suitability
Managerial judgement	Managers estimate needs of their departments	Quick; good for small firms
Delphi technique	Experts give estimates anonymously in rounds until a consensus emerges	Good where history cannot predict the future
Nominal group technique	Structured group discussion and ranking of ideas	Good for new situations
Work-study technique	Workload divided by output per employee	Where work can be measured
Ratio / trend analysis	Past ratios (sales per employee) are projected	Stable conditions

Most suitable for a growing firm

Delphi technique (with managerial judgement) is most suitable because a growing firm's future differs from its past, so trend analysis cannot predict its needs; expert opinion can.

Marking scheme: Introduction 1 · techniques 3 · suitable technique with reason 2

Asked in: Important Questions - Unit 2, Q3 [answer from standard HRM knowledge - no notes PDF for this unit]

Q6. [3 marks] Explain the methods of forecasting supply of human resources.

Human Resource Planning

Supply forecasting estimates how many employees will be available - inside and outside the firm.

1. **Markov analysis:** shows the probability of employees moving between jobs, being promoted or leaving; it predicts internal supply.
2. **Skill inventory and replacement charts:** records of employees' skills and charts showing who can replace whom.
3. **External supply study:** labour market, campuses, competitors and migration give the outside supply.

Example: If 10% of staff leave every year, the supply next year is 90% of present staff plus promotions.

Marking scheme: Introduction 0.5 · three methods 2 · example 0.5

Asked in: Important Questions - Unit 2, Q4 [answer from standard HRM knowledge - no notes PDF for this unit]

Q7. [3 marks] What are the barriers to effective HRP, and how can they be overcome?

Human Resource Planning

Barrier	Why it is a problem	Remedy
Lack of top management support	No resources or priority is given to planning	Show the benefits and involve top management
Inaccurate data and forecasts	Wrong plans are made	Improve the HR information system
Resistance from managers and employees	Plans are not implemented	Communication and participation

Other barriers are uncertainty of the environment and the cost and time of planning.

Marking scheme: Three barriers with remedies 1 each

Asked in: Important Questions - Unit 2, Q12 [answer from standard HRM knowledge - no notes PDF for this unit]

Q8. [2 marks] What is Job Analysis?

Job Analysis

Job analysis is the process of **collecting and analysing information about the tasks, duties, responsibilities and requirements of a job**.

- Its results are written as a **job description** (about the job) and a **job specification** (about the person).
- It is the foundation of recruitment, training, appraisal and pay.

Example: Studying what a bank cashier does each day and the skills needed.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q9. [3 marks] Describe the methods of collecting job analysis data.

Job Analysis

Method	How it works	Advantage	Limitation
Observation	Analyst watches the job being done	First-hand facts	Time consuming
Interview	Job holders and supervisors are questioned	Detailed information	May be biased
Questionnaire	Written form filled by employees	Covers many employees	Poor response
Diary method	Job holder records daily activities in a log	Accurate records of what is done	Employees may exaggerate

Marking scheme: Four methods with explanation, 0.75 each

Asked in: Important Questions - Unit 2, Q13 [answer from standard HRM knowledge - no notes PDF for this unit]

Q10. [5 marks] Distinguish between Job Description and Job Specification. Prepare a sample JD and JS for the position of Marketing Executive.

Job Analysis

Difference

Basis	Job description	Job specification
Meaning	A statement of tasks, duties and responsibilities of the job	A statement of qualifications, skills and traits required from the job holder
Concerned with	The job	The person
Contents	Title, duties, reporting, working conditions	Education, experience, skills, personality
Use	Tells what the job is	Helps in selecting the right person

Sample - Marketing Executive

- **Job description:** title - Marketing Executive; reports to Marketing Manager; duties - promote products, meet customers, conduct market surveys and prepare sales reports; working hours and location.
- **Job specification:** BBA/MBA in marketing; 1-2 years' experience; good communication and persuasion skills; basic computer skills; ability to work under targets.

Marking scheme: Difference 3 · sample JD 1 · sample JS 1

Asked in: Important Questions - Unit 2, Q6 [answer from standard HRM knowledge - no notes PDF for this unit]

Q11. [6 marks] "Job analysis is the cornerstone of all HR activities." Do you agree? Justify your answer.

Job Analysis

Introduction

Job analysis collects information about each job - its duties, responsibilities and requirements. Almost every HR decision is based on this information.

I agree - justification

HR activity	How job analysis is used
HR planning	Shows what jobs and how many people are needed
Recruitment and selection	Job description and specification define who is wanted
Training	Shows skills required and gaps
Performance appraisal	Sets the standards of performance
Job evaluation and pay	The worth of a job is decided on its duties
Safety and health	Identifies hazards of the job

Conclusion: without accurate job analysis the HR activities would be based on guesswork; hence it is the foundation of HRM.

Marking scheme: Introduction 1 · agree with 4 uses 4 · conclusion 1

Asked in: Important Questions - Unit 2, Q14 [answer from standard HRM knowledge - no notes PDF for this unit]

Q12. [10 marks] What is Job Analysis? Discuss its process, methods and uses. How does it serve as the foundation for other HR functions?

Job Analysis

1. Introduction

A job is a group of tasks and duties. **Job analysis** is the process of collecting and analysing information about the tasks, duties, responsibilities and requirements of a job. It answers: what is done, why, how, where and by whom.

2. Process of job analysis

1. Decide the purpose and the jobs to be analysed.
2. Collect background information (organisation chart, existing job records).

3. Collect job data using suitable methods.
4. Verify the data with job holders and supervisors.
5. Prepare the job description and job specification.
6. Review and update regularly.

3. Methods of collecting data

Method	Meaning
Observation	Watching employees at work
Interview	Questioning job holders and supervisors
Questionnaire	Written forms filled in by employees
Diary method	Employees record their daily activities

4. Uses and foundation of other HR functions

Function	Role of job analysis
Planning	Defines jobs needed
Recruitment and selection	Gives job description and specification
Training and development	Shows skills required
Appraisal	Provides performance standards
Job evaluation and compensation	Basis of the pay structure
Safety	Finds risks of jobs

Example: A bank analyses the job of a loan officer; the resulting JD and JS are used to recruit, train, appraise and pay the officer.

5. Conclusion

Job analysis supplies the facts on which nearly every HR activity rests; hence it is the cornerstone of HRM.

Marking scheme: Introduction 1 · process 2 · methods 2 · uses 3 · example 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q5 [answer from standard HRM knowledge - no notes PDF for this unit]

Q13. [2 marks] Define recruitment.

Recruitment

Recruitment is the process of **searching for and attracting potential candidates** and encouraging them to apply for jobs in the organisation.

- It creates a **pool of applicants** from which the best can be selected.
- It is a positive process, whereas selection is negative (rejecting unsuitable candidates).

Example: Advertising a vacancy in a newspaper and on a job portal.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q14. [3 marks] Distinguish between recruitment and selection.

Recruitment

Basis	Recruitment	Selection
Meaning	Searching and attracting candidates	Choosing the best from the applicants
Nature	Positive - encourages applications	Negative - rejects unsuitable persons
Sequence	Comes first	Follows recruitment
Aim	To create a pool of applicants	To select the most suitable candidate

Recruitment generates the pool; selection chooses from it.

Marking scheme: Any three differences 1 each

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q15. [5 marks] Define recruitment and discuss the factors affecting it. Explain how internal and external factors shape an organisation's recruitment strategy.

Recruitment

Introduction

Recruitment is the process of searching for and attracting potential candidates to apply for jobs. How a firm recruits depends on several factors.

Type	Factors	Effect on recruitment strategy
Internal	Recruitment policy (promote from within or not), HR plan, size of the firm, cost, reputation of the firm	Decide the sources and the method of recruiting
External	Labour market and unemployment, competitors' pay, economy, labour laws, unions	Decide how much effort and pay is needed to attract people

Example: If unemployment is high, applicants are plentiful and the firm can recruit cheaply; if skills are scarce, it must offer higher pay and use campus drives.

Marking scheme: Definition 1 · internal factors 2 · external factors 2

Asked in: Important Questions - Unit 2, Q7 [answer from standard HRM knowledge - no notes PDF for this unit]

Q16. [6 marks] Compare internal and external sources of recruitment. Discuss the merits and demerits of each with examples.

Recruitment

Introduction

Sources of recruitment are the places from which candidates are found. They are internal (within the firm) and external (outside the firm).

Basis	Internal sources	External sources
Examples	Promotion, transfer, job posting, employee referrals	Campus placement, advertisements, employment exchanges, agencies, walk-ins
Merits	Cheap and fast; boosts morale and loyalty; employee is already known	Fresh ideas and skills; wide choice; no internal rivalry
Demerits	Limited choice; no new ideas; may cause jealousy	Costly and time-consuming; risk of wrong selection; may demotivate existing staff

Example: Promoting a senior clerk to supervisor (internal); hiring a fresh MBA from a campus (external).

Conclusion: most firms use both: internal for continuity and external for fresh talent.

Marking scheme: Introduction 1 · comparison table 3 · examples 1 · conclusion 1

Asked in: Important Questions - Unit 2, Q8 [answer from standard HRM knowledge - no notes PDF for this unit]

Q17. [6 marks] "Internal recruitment boosts morale, but external recruitment brings innovation." Critically evaluate this statement.

Recruitment

Introduction

The statement compares the main strength of each source.

Internal recruitment

- **Boosts morale:** employees see a promotion path and feel valued.
- **Cheap and quick;** the candidate's performance is already known.
- **Weakness:** limited choice, no new ideas, possible rivalry.

External recruitment

- **Brings innovation:** new people bring new skills, experience and viewpoints.
- **Weakness:** costly, slow, risk of a poor fit and possible demotivation of insiders.

Evaluation

The statement is broadly true, but not always: an insider may also innovate, and an outsider may lower morale. The best method depends on the post - promote for continuity, hire outside for fresh skills.

Marking scheme: Introduction 1 · internal 1.5 · external 1.5 · evaluation 2

Asked in: Important Questions - Unit 2, Q15 [answer from standard HRM knowledge - no notes PDF for this unit]

Q18. [2 marks] What is selection?

Selection

Selection is the process of **choosing the most suitable candidate** from the pool of applicants created by recruitment, through tests, interviews and checks.

- It rejects unsuitable applicants, so it is a **negative** process.
- It aims to match the candidate with the job requirements.

Example: Out of 500 applicants, 5 are finally appointed after tests and interviews.

Marking scheme: Definition 1 · two points 0.5 each · example 0.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q19. [10 marks] Explain the selection process in detail. Describe each stage, from application screening to the final job offer.

Selection

1. Introduction

Selection is the process of choosing the most suitable candidate from the applicants. It consists of a series of steps, each of which removes unsuitable candidates, so that cost is spent only on promising ones.

2. Stages of the selection process

1. **Application screening:** applications are checked against the job specification; those not meeting minimum qualifications are rejected.
2. **Employment tests:** aptitude, personality and situational tests measure ability, traits and judgement.
3. **Interview:** face-to-face discussion to judge communication, attitude and suitability.
4. **Reference and background check:** past employers and referees confirm the candidate's record.
5. **Medical examination:** checks physical fitness for the job.
6. **Final selection and job offer:** the best candidate is chosen and given an offer letter stating post, pay and terms.
7. **Placement and induction:** the person joins and is oriented to the organisation.

3. Flow

Stage	Purpose	Candidates remaining
Screening	Remove unqualified	Many
Tests	Measure ability	Fewer
Interview	Judge suitability	Few

Checks and medical	Verify	Very few
Offer	Final choice	One or more

Example: A bank receives 2,000 applications for 20 posts: screening leaves 500, the written test 100, the interview 30 and the final offer goes to 20.

4. Conclusion

A careful multi-stage process gives the organisation the right person, reduces turnover and saves training cost.

Marking scheme: Introduction 1 · six stages 5 · flow/table 1.5 · example 1 · conclusion 1.5

Asked in: Important Questions - Unit 2, Q9 [answer from standard HRM knowledge - no notes PDF for this unit]

Q20. [6 marks] Discuss the types of employment tests (aptitude, personality, situational). How do they improve the reliability and validity of selection decisions?

Selection

Introduction

Employment tests are standard tools used to measure a candidate's ability and suitability for the job.

Test	What it measures	Example
Aptitude test	Potential to learn and ability (numerical, verbal, mechanical)	Numerical reasoning test for a bank clerk
Personality test	Traits, attitude and temperament	Questionnaire on teamwork and stress handling
Situational test	Judgement in realistic work situations	Handling an angry customer role play

Reliability and validity

- **Reliability** means consistency: the same candidate gets similar scores when tested again.
- **Validity** means the test really predicts job performance.
- Standard tests remove personal bias and let candidates be compared fairly, so decisions become more reliable and valid.

Marking scheme: Introduction 1 · three tests 3 · reliability and validity 2

Asked in: Important Questions - Unit 2, Q10 [answer from standard HRM knowledge - no notes PDF for this unit]

Q21. [6 marks] Explain the various interviewing techniques. What are the common errors in interviewing and how can they be avoided?

Selection

Introduction

An interview is a formal conversation to judge a candidate's suitability. Different techniques are used for different needs.

Technique	Meaning
Structured	Fixed questions asked in the same order to all candidates
Unstructured	Free-flowing conversation with no set questions
Panel	A group of interviewers questions one candidate
Behavioural	Questions about past behaviour in real situations
Stress	Deliberate pressure to test composure
Telephonic / video	Interview conducted remotely

Common errors and remedies

Error	Meaning	Remedy
Halo effect	One good trait influences the whole rating	Rate each trait separately
Horns effect	One bad trait lowers the whole rating	Use structured criteria
Bias and stereotyping	Judging by gender, looks or background	Train interviewers; panel interviews
Poor listening / first impression	Decision made early	Standard questions; evaluate after the interview

Marking scheme: Introduction 0.5 · techniques 3 · errors and remedies 2.5

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q22. [3 marks] What are the limitations of interviews as a selection tool? How can they be reduced?

Selection

The interview is the most widely used tool but it has weaknesses.

1. **Subjective judgement:** the interviewer's likes and dislikes affect the result.
2. **Errors like halo effect, bias and first-impression error** reduce fairness.
3. **Inconsistency:** different candidates get different questions.

Remedies: structured questions, trained interviewers, panel interviews and scoring sheets.

Marking scheme: Limitations 2 · remedies 1

Asked in: Important Questions - Unit 2, Q11 [answer from standard HRM knowledge - no notes PDF for this unit]

Q23. [5 marks] Explain the objectives, nature and importance of Human Resource Planning.

Human Resource Planning

Meaning

HRP is the process of anticipating and making provision for the movement of people into, within and out of an organisation - ensuring the right number and kind of people at the right place and time.

Objectives

- Cope with change in technology, markets and products.
- Develop employees by providing a base for training and growth.
- Plan recruitment and redundancy levels in advance.
- Control HR cost within the budget; match staffing with organisational goals.

Nature

- Continuous, futuristic, sub-system of organisational planning, quantitative and qualitative.

Importance

- Right people at the right time; supports growth and diversification; prepares people for future needs; avoids over- or under-staffing; base for recruitment, promotion and succession.

Marking scheme: Meaning 1 · objectives 1.5 · nature 1 · importance 1.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q24. [6 marks] Define HRP and explain its process in detail with a flowchart.

Human Resource Planning

Introduction

HRP links people strategy with business strategy. Without it, organisations face shortages that restrict growth or surpluses that increase cost.

Flow: Analyse objectives → Demand forecast → Supply forecast → Identify gaps → Action plan → Monitor and control

Step	Explanation
1. Analyse objectives	Study organisational goals, strategy and future direction
2. Demand forecasting	Estimate the future number and type of people required (managerial judgement, ratio-trend, work-study, Delphi, regression)
3. Supply forecasting	Assess manpower available internally (skills inventory, replacement charts, succession) and externally (labour market, campuses, job portals)
4. Identify gaps	Compare demand and supply to find shortage or surplus
5. Action plan	Recruit, train, transfer, promote, redeploy or reduce as needed
6. Monitor and control	Check the results and update the plan continuously

Conclusion: a systematic HR plan ensures the right people are available at the right time and place.

Marking scheme: Definition 1 · flowchart 1 · six steps 3 · conclusion 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q25. [3 marks] Explain the methods of forecasting demand for human resources (M-R-W-D-R).

Human Resource Planning

Method	Meaning
Managerial judgement	Experienced managers estimate future requirements
Ratio-trend analysis	Past staffing ratios are projected forward
Work-study technique	Work is broken into tasks and standard time and staff need are calculated
Delphi technique	Anonymous expert opinions are collected over several rounds
Regression analysis	Statistical relationship between business variables and staffing

Delphi / managerial judgement suit a growing firm.

Marking scheme: Five methods, 0.6 each

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q26. [3 marks] Explain the process and uses of job analysis.

Job Analysis

Job analysis is the systematic process of collecting and studying information about a job's content, context and requirements.

Flow: Purpose and use → Background information → Select jobs → Collect data → Review → Prepare JD + JS

- **Methods:** observation, interviews, questionnaires, diaries / logs (also critical incidents).
- **Uses:** recruitment and selection, performance management, training, compensation, career development.

Marking scheme: Definition 0.5 · flow 1 · uses 1.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Q27. [5 marks] Define recruitment and explain the recruitment process, the factors affecting it and the sources of recruitment.

Recruitment

Definition

Edwin B. Flippo: recruitment is the process of searching for prospective employees and stimulating and encouraging them to apply for jobs. It is a **positive** process because it widens the applicant pool.

Process

Flow: HR planning → Job analysis → Recruitment planning → Identify sources → Contact sources → Attract candidates → Build application pool

Factors affecting recruitment

Internal	External
Recruitment policy, organisation size / manpower plan, cost of hiring, growth, HR planning decisions	Labour market conditions, legal / political factors, organisational image, unemployment rate, competitors' practices

Sources

Internal (P-T-J-E-R)	External (C-A-E-W)
Promotions, transfers, job posting, employee referrals, re-employment	Campus recruitment, advertisements / job portals / social media, employment agencies, walk-ins

Marking scheme: Definition 1 · process 1 · factors 1.5 · sources 1.5

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q28. [6 marks] Differentiate between recruitment and selection. State two internal and two external sources of recruitment.

Recruitment

Basis	Recruitment	Selection
Meaning	Searches for and attracts candidates	Chooses suitable candidate(s) from the pool
Candidate pool	Widens the pool	Reduces the pool
Sequence	Comes first	Follows recruitment
Nature	Positive process	Negative process
Main techniques	Advertising, campus drives, referrals, agencies	Tests, interviews, reference and medical checks
Outcome	Applications / candidate pool	Offer / appointment

- **Internal sources:** promotions and transfers (also job posting, employee referrals).
- **External sources:** campus recruitment and advertisements / job portals (also agencies, walk-ins).

Golden line: recruitment attracts; selection chooses. Recruitment is positive; selection is negative.

Marking scheme: Definitions 1 · six bases 3 · sources 2

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes (Priority A - asked in the earlier test)

Q29. [5 marks] Explain the selection process with the types of tests and interviewing techniques.

Selection

Selection

Flippo: selection is the process of choosing individuals who have the requisite qualifications and competence to fill jobs - a **negative** process as unsuitable candidates are eliminated.

Flow: Preliminary screening → Application review → Selection tests → Interview → Reference / background check → Medical examination → Final offer

Tests

- Aptitude (numerical, verbal, reasoning, mechanical), personality, situational, achievement / trade and

interest tests.
- A good test is objective, valid, reliable and standardised.

Interviewing techniques

- Structured, unstructured, behavioural, panel, stress, group discussion, situational, technical (and telephonic / video).

Marking scheme: Definition 1 · flow 1.5 · tests 1.5 · interviews 1

Asked in: Syllabus PDF - HRM_Four_Units_Comprehensive_Notes

Part D - MCQs (30) - answers at the end

1. A statement of the qualifications, skills and traits required of the job holder is called
- A. job description
- B. job enrichment
- C. job specification
- D. job enlargement

2. Breaking work into tasks and calculating standard time and staff needed is the
- A. regression analysis
- B. work-study technique
- C. managerial judgement
- D. ratio-trend analysis

3. Job analysis is the process of
- A. estimating the number of employees required in the coming year
- B. collecting and analysing information about the tasks and requirements of a job
- C. appraising an employee's performance and potential for promotion
- D. fixing the wage rate for a job after comparing it with other jobs

4. Recruitment is called a positive process because it
- A. widens the applicant pool
- B. reduces the pool
- C. rejects unsuitable candidates
- D. ends the hiring process

5. Which of the following is a method of forecasting HR supply?
- A. Work-study technique
- B. Markov analysis
- C. Delphi technique
- D. Nominal group technique

6. The mnemonic A-D-S-G-A-M stands for
- A. Appoint, Direct, Select, Govern, Assess, Manage
- B. Analyse, Demand, Supply, Gaps, Action, Monitor
- C. Aim, Decide, Settle, Grade, Act, Motivate
- D. Audit, Draft, Study, Guide, Approve, Measure

7. A barrier to effective HRP is
- A. too many accurate forecasts
- B. availability of complete data
- C. lack of top management support
- D. perfect labour market

8. Which of the following is an employment test?
- A. Aptitude test
- B. Cost sheet
- C. Balance sheet
- D. Trial balance

9. The first step in the HRP process is
- A. preparing the action plan for recruiting and training staff
- B. analysing organisational objectives
- C. forecasting the demand for human resources from past experience
- D. monitoring and controlling the results of the manpower plan

10. A situational test asks the candidate to

A. respond to a realistic work scenario
B. fill an application form giving his personal details
C. write an essay on any topic of his choice about his hobbies
D. submit his educational certificates and testimonials to the HR office

11. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?

A. Widens the talent pool
B. Boosts employee morale and motivation
C. Increases recruitment cost
D. Brings completely new ideas

12. Which is an objective of HRP?

A. Design the logo and the advertisement of the company for newspapers
B. Fix the selling prices of the products according to market competition
C. Increase the number of customers and the sales of the firm each year
D. Plan recruitment and redundancy levels in advance

13. The memory line 'JD = Do; JS = Who' means

A. JD is meant for managers only and JS for all the workers
B. JS lists the duties and tasks and JD lists the person's skills
C. JD lists the qualifications and JS lists the working conditions
D. JD describes what is done; JS describes who can do it

14. A statement of tasks, duties and responsibilities of a job is called

A. job evaluation
B. job specification
C. job rotation
D. job description

15. Which is NOT a type of selection test listed in the deck?

A. Personality test
B. Aptitude test
C. Situational test
D. Sales forecasting test

16. Using statistical relationships between business variables and staffing is called

A. managerial judgement
B. work-study technique
C. regression analysis
D. Delphi technique

17. Selection is the process of

A. searching for and attracting a large pool of candidates to apply for vacancies
B. preparing a list of the tasks and duties attached to a vacant position
C. training newly appointed employees to perform their duties efficiently
D. choosing the most suitable candidate from the pool of applicants

18. Job analysis is best described as the systematic process of

A. training employees to improve their skills for the present job
B. selecting candidates through tests and interviews for a vacancy
C. paying incentives and bonus to employees for better performance
D. collecting and studying information about a job's content, context and requirements

19. Qualifications, experience and abilities required from a job holder appear in the

A. organisation chart
B. job description
C. wage board report

D. job specification

20. The mnemonic C-D-P-C-M for HRP objectives starts with
A. Change - cope with change in technology, markets and products
B. Control - dismiss staff whenever the firm faces any budget problem
C. Communication - none of the HR plans need to be communicated to staff
D. Cost - cut the cost by dismissing all employees in the firm at once

21. Which of the following is a technique of forecasting demand for human resources?
A. Markov analysis
B. Skill inventory
C. Delphi technique
D. Succession chart

22. Which of the following is a nature of HRP?
A. Continuous, futuristic and both quantitative and qualitative
B. One-time activity that is done once and is based only on the past
C. Only about numbers of employees without any thought about skills
D. Completely independent of the organisation's own overall planning

23. Which of the following is NOT a method of forecasting HR supply?
A. Markov analysis
B. Delphi technique
C. Skill inventory
D. Replacement chart

24. Judging a candidate on the basis of one strong trait is the interviewing error called
A. halo effect
B. central tendency
C. leniency
D. horns effect

25. HRP is described as the process of
A. only recruiting new staff whenever a vacancy is noticed by any manager
B. designing the product range and the packaging of the finished goods
C. paying the wages and salaries of all the employees on time every month
D. anticipating and making provision for the movement of people into, within and out of an organisation

26. Human Resource Planning (HRP) is the process of
A. evaluating the past performance of employees against fixed standards
B. analysing the duties and responsibilities attached to each job in the firm
C. forecasting an organisation's future demand for and supply of employees
D. determining the compensation and fringe benefits to be paid to all employees

27. A good selection test should have
A. objectivity, validity, reliability and standardisation
B. bias in the scoring and ambiguity in the questions of the test
C. high cost of administration and no link with the job requirements
D. secrecy of the results and delay in the declaration of the scores

28. Which is a source of INTERNAL supply of employees?
A. Campus recruitment from colleges and universities every year
B. Job portals and social media pages advertising vacancies outside
C. Employment exchanges and public employment agencies in the area
D. Replacement charts and skills inventory

29. Which technique collects anonymous expert opinions over several rounds?
A. Regression analysis

B. Delphi technique
C. Ratio-trend analysis
D. Work-study technique

30. Comparing demand with supply to find shortage or surplus is the step of

A. action plan
B. identifying gaps
C. analysing objectives
D. supply forecasting

MCQ answer key

1. **C**	6. **B**	11. **B**	16. **C**	21. **C**	26. **C**
2. **B**	7. **C**	12. **D**	17. **D**	22. **A**	27. **A**
3. **B**	8. **A**	13. **D**	18. **D**	23. **B**	28. **D**
4. **A**	9. **B**	14. **D**	19. **D**	24. **A**	29. **B**
5. **B**	10. **A**	15. **D**	20. **A**	25. **D**	30. **B**

MCQ answers with explanations

1. A statement of the qualifications, skills and traits required of the job holder is called

Answer: C. job specification

Why correct: Job specification lists the qualifications, skills and traits the job holder needs.

A is wrong: Job description lists the job's duties.

B is wrong: Job enrichment adds depth and responsibility.

D is wrong: Job enlargement adds more tasks.

2. Breaking work into tasks and calculating standard time and staff needed is the

Answer: B. work-study technique

Why correct: Work-study uses standard time.

A is wrong: Regression is statistical.

C is wrong: Judgement uses experience.

D is wrong: Ratio-trend uses past ratios.

3. Job analysis is the process of

Answer: B. collecting and analysing information about the tasks and requirements of a job

Why correct: Job analysis collects and studies facts about a job's tasks and requirements.

A is wrong: Estimating headcount is manpower planning.

C is wrong: Appraising performance is performance appraisal.

D is wrong: Fixing wage rates is job evaluation.

4. Recruitment is called a positive process because it

Answer: A. widens the applicant pool

Why correct: It attracts more applicants.

B is wrong: Selection reduces the pool.

C is wrong: That makes selection negative.

D is wrong: Recruitment is only the start.

5. Which of the following is a method of forecasting HR supply?

Answer: B. Markov analysis

Why correct: Markov analysis shows how employees move between jobs and exit, forecasting internal supply.

A is wrong: Work-study technique estimates workload (demand).

C is wrong: Delphi forecasts demand.

D is wrong: Nominal group technique forecasts demand.

6. The mnemonic A-D-S-G-A-M stands for

Answer: B. Analyse, Demand, Supply, Gaps, Action, Monitor

Why correct: ADSGAM is the HRP process.

A is wrong: Not the HRP steps.

C is wrong: Not the HRP steps.

D is wrong: Not the HRP steps.

7. A barrier to effective HRP is

Answer: C. lack of top management support

Why correct: Without top management support, HRP gets no resources or priority, so it fails.

A is wrong: Accurate forecasts help HRP.

B is wrong: Complete data helps HRP.

D is wrong: A perfect labour market would ease HRP.

8. Which of the following is an employment test?

Answer: A. Aptitude test

Why correct: An aptitude test measures ability and is an employment test.

B is wrong: A cost sheet is a costing statement.

C is wrong: A balance sheet is a financial statement.

D is wrong: A trial balance is an accounting check.

9. The first step in the HRP process is

Answer: B. analysing organisational objectives

Why correct: HR plans start from organisational objectives.

A is wrong: Action plan is step 5.

C is wrong: Demand forecasting is step 2.

D is wrong: Monitoring is the last step.

10. A situational test asks the candidate to

Answer: A. respond to a realistic work scenario

Why correct: A situational test puts the candidate in a realistic work scenario.

B is wrong: Filling a form is screening.

C is wrong: Writing an essay is a writing test.

D is wrong: Submitting certificates is documentation.

11. 'Internal recruitment boosts morale, but external recruitment brings innovation.' Which is a merit of internal recruitment?

Answer: B. Boosts employee morale and motivation

Why correct: Promoting from within motivates staff and boosts morale.

A is wrong: A wider talent pool comes from external recruitment.

C is wrong: Internal recruitment is cheaper, not costlier.

D is wrong: New ideas come from external recruitment.

12. Which is an objective of HRP?

Answer: D. Plan recruitment and redundancy levels in advance

Why correct: HRP plans staffing levels.

A is wrong: Design is unrelated.

B is wrong: Pricing is a marketing matter.

C is wrong: Customers are a marketing matter.

13. The memory line 'JD = Do; JS = Who' means

Answer: D. JD describes what is done; JS describes who can do it

Why correct: It separates job from person.

A is wrong: Both apply to all jobs.

B is wrong: Duties are in JD.

C is wrong: Qualifications are in JS.

14. A statement of tasks, duties and responsibilities of a job is called

Answer: D. job description

Why correct: The job description states tasks, duties and responsibilities of the job.

A is wrong: Job evaluation fixes the worth of the job.

B is wrong: Job specification states the person's qualifications.

C is wrong: Job rotation moves employees between jobs.

15. Which is NOT a type of selection test listed in the deck?

Answer: D. Sales forecasting test

Why correct: Listed: aptitude, personality, situational, achievement, interest.

A is wrong: Personality is listed.

B is wrong: Aptitude is listed.

C is wrong: Situational is listed.

16. Using statistical relationships between business variables and staffing is called

Answer: C. regression analysis

Why correct: Regression is statistical.

A is wrong: Judgement is experience-based.

B is wrong: Work-study measures tasks.

D is wrong: Delphi is expert opinion.

17. Selection is the process of

Answer: D. choosing the most suitable candidate from the pool of applicants

Why correct: Selection picks the most suitable person from the pool created by recruitment.

A is wrong: Searching and attracting is recruitment.

B is wrong: Listing tasks is job description.

C is wrong: Training new staff is induction/training.

18. Job analysis is best described as the systematic process of

Answer: D. collecting and studying information about a job's content, context and requirements

Why correct: This is the deck's definition.

A is wrong: That is training.

B is wrong: That is selection.

C is wrong: That is compensation.

19. Qualifications, experience and abilities required from a job holder appear in the

Answer: D. job specification

Why correct: JS lists human requirements.

A is wrong: An organisation chart shows structure.

B is wrong: JD lists duties.

C is wrong: A wage board report deals with pay.

20. The mnemonic C-D-P-C-M for HRP objectives starts with

Answer: A. Change - cope with change in technology, markets and products

Why correct: C = Change.

B is wrong: HRP does not aim at dismissal.

C is wrong: Not an HRP objective by itself.

D is wrong: Cost control is the 4th C and is about budget.

21. Which of the following is a technique of forecasting demand for human resources?

Answer: C. Delphi technique

Why correct: Delphi uses expert opinions to forecast future HR demand.

A is wrong: Markov analysis tracks movement of people (supply).

B is wrong: Skill inventory lists existing skills (supply).

D is wrong: Succession chart plans who replaces whom (supply).

22. Which of the following is a nature of HRP?

Answer: A. Continuous, futuristic and both quantitative and qualitative

Why correct: HRP is continuous and futuristic.

B is wrong: HRP is not one-time.

C is wrong: It covers numbers and skills.

D is wrong: It is a sub-system of organisational planning.

23. Which of the following is NOT a method of forecasting HR supply?

Answer: B. Delphi technique

Why correct: Delphi forecasts demand; Markov, skill inventory and replacement chart forecast supply.

A is wrong: Markov analysis is a supply method.

C is wrong: Skill inventory is a supply method.

D is wrong: Replacement chart is a supply method.

24. Judging a candidate on the basis of one strong trait is the interviewing error called

Answer: A. halo effect

Why correct: Halo effect: one strong trait colours the entire rating.

B is wrong: Central tendency: rating everyone average.

C is wrong: Leniency: rating everyone too high.

D is wrong: Horns effect: one bad trait colours the rating.

25. HRP is described as the process of

Answer: D. anticipating and making provision for the movement of people into, within and out of an organisation

Why correct: This is the standard HRP definition.

A is wrong: Recruitment is only one outcome.

B is wrong: That is a marketing task.

C is wrong: That is payroll.

26. Human Resource Planning (HRP) is the process of

Answer: C. forecasting an organisation's future demand for and supply of employees

Why correct: HRP forecasts future demand for and supply of employees so the right people are available.

A is wrong: Evaluating past performance is performance appraisal.

B is wrong: Analysing job duties is job analysis.

D is wrong: Fixing compensation is a pay function.

27. A good selection test should have

Answer: A. objectivity, validity, reliability and standardisation

Why correct: These are the qualities of a good test.

B is wrong: Not a quality.

C is wrong: Cost is not a quality.

D is wrong: Not a quality.

28. Which is a source of INTERNAL supply of employees?

Answer: D. Replacement charts and skills inventory

Why correct: These are internal records.

A is wrong: Campus is external.

B is wrong: Portals are external.

C is wrong: Exchanges are external.

29. Which technique collects anonymous expert opinions over several rounds?

Answer: B. Delphi technique

Why correct: Delphi uses expert rounds.

A is wrong: Regression uses statistics.

C is wrong: Ratio-trend uses past ratios.

D is wrong: Work-study uses standard time.

30. Comparing demand with supply to find shortage or surplus is the step of

Answer: B. identifying gaps

Why correct: Gap identification follows both forecasts.

A is wrong: Action plan responds to the gap.

C is wrong: Analysing objectives is the first step.

D is wrong: Supply forecasting estimates availability.